



NEPOTISM AND CONFLICT OF INTEREST

POLICY NO. 1-6, as amended

PURPOSE: To establish policies regarding employment of relatives of the appointing authority (the General Manager) and matters where conflict of interest may arise.

POLICIES:

1. No relatives within the third degree of consanguinity or affinity of the appointing authority (the General Manager) shall be employed by the cooperative.
2. The cooperative shall not transact business where any officer or employee or any of his relatives within the third degree of consanguinity or affinity has any personal interest.
3. No Board member, officer, or employee of the cooperative shall receive any fee, commission, gift, or charge of any kind from any entity that has or which will have any business or financial transactions with the cooperative or from persons who receive electric service from the cooperative.

IMPLEMENTATION:

The Board and the Manager are responsible for implementing this policy.

(SGD) JACK DULNUAN
President

(SGD) NICASIO T. ALIPING
Secretary

ADOPTED pursuant to Board Resolution No, 37 dated March 08, 1974 and amended pursuant to Board Resolution No. 115-95 date August 19, 1995 signed by FRANK A. PAGNAS, Secretary and ESTEBAN B. BUSOY, President.

BENGUET ELECTRIC COOPERATIVE, INC.

Office of the Board of Directors
KM 4, LA TRINIDAD, BENGUET

Pls. receive a memo to inform all employees about this and update our file of Corp policies.

TO
ATTN
FROM
SUBJECT:

THE MEMBERS OF THE
BENECO BOARD OF DIRECTORS

THE GENERAL MANAGER

THE FINANCE COMMITTEE
THE COMMITTEE ON LAWS

THE LETTER OF NEA's MR. V. B. CRUZ TO THE BENECO BOARD DATED 05 JUNE 2006 (MONITORING AND EVALUATION OF AUDIT FINDINGS / RECOMMENDATIONS - 01 JANUARY 2001 TO 28 FEBRUARY 2005), MORE PARTICULARLY ON THE ISSUE REGARDING "NEPOTISM"

DATE : 21 JULY 2006

approved

*cc all BODs
BGA
Bely*

The matter was the subject of another round of committee meeting this date in the presence of Atty. L. Balisong and Mr. E. Brillantes.

Considering all previous discussions and inputs on the matter, the above-named committees hereby recommend the following on the issue of NEPOTISM as cited by the NEA monitoring and evaluation of audit findings, to wit:

The Committees recommend to the Board that Policy No. 1-6, as amended, be deleted or repealed because the Policy contradicts Article XI, Section 4 of the BENECO By-Laws.

If we wish to retain the Policy proposed to be repealed or deleted, we should submit the same to the General Assembly for amendment.

THE FINANCE COMMITTEE

DIR. NORMA T PARADO
Chairman

[Signature]
DIR. VIRGILIO D ORCA, JR.
Member

[Signature]
DIR. JOEL A ALANGSAB
Member

THE COMMITTEE ON LAWS

[Signature]
DIR. BENNY O BOMOGAO
Chairman

[Signature]
DIR. ROBERT K CANUTO
Member

[Signature]
DIR. VICTORIO T PALANGDAN
Member

June 21, 2006

By [Signature] June 7/07
Board mtg. pres.
Shirley 6/23
cc: all Depts. Corplan

THE HONORABLE BOARD OF DIRECTORS
Benguet Electric Cooperative, Inc.
BENECO Building, Km. 4, La Trinidad, Benguet

Your Honors:

In view of the NEA Audit Team findings regarding the alleged violation of Article XI, Section 4 (Nepotism) of the BENECO By-Laws, may we respectfully furnish the Honorable Board the following documents for your information and reference, to wit:

1. Original Policy No. 1-6 carrying the subject Nepotism and Conflict of Interest signed by former BENECO Board President Jack Dulnuan and attested by Board Secretary Nicasio T. Aliping;
2. BENECO Board Resolution No. 115-95 amending Policy No. 1-6;
3. Amended version of Policy No. 1-6;
4. Article XI, Section 4 of the BENECO By-Laws.

Thank you very much.

Very truly yours,

Gerardo P. Verzosa 6/23
GERARDO P. VERZOSA
General Manager

cc: All Depts /Corplan /IAD/ file



BENGUET ELECTRIC COOPERATIVE, INC.

CAMP ALLEN, BAGUIO CITY

TEL. 21-86

POLICY NO. 1-6

SUBJECT: NEPOTISM AND CONFLICT OF INTEREST

PURPOSE: To establish policies regarding employment of relatives of Board members and of the Manager and matters where conflict of interest may arise.

INTRODUCTION:

The Board, realizing nepotism and conflict of interest cases can be inimical to the effective operation of the Cooperative, hereby adopts the following policies:

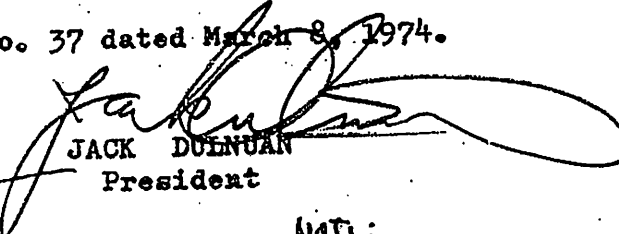
POLICIES:

1. No relative within the third degree of consanguinity or affinity of any Board member or of the Manager, shall be employed by the Cooperative.
2. The Cooperative shall not transact business where any Board member or of the Manager or any of his relatives within the third degree of consanguinity or affinity has any personal interest.
3. No Board member, officer or employee of the Cooperative shall receive any fee, commission, gift, or charge of any kind from any entity which has or which will have any business or financial transactions with the Cooperative or from persons who receive or will receive electric service from the Cooperative.

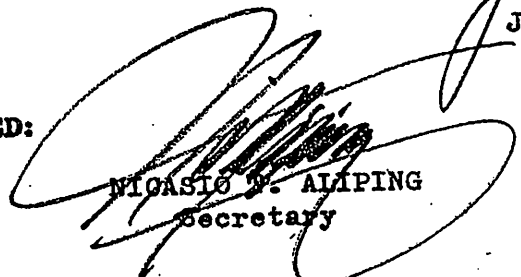
IMPLEMENTATION:

The Board and the Manager are responsible for implementing this policy.

ADOPTED pursuant to Resolution No. 37 dated March 8, 1974.


JACK DUÑUAN
President

ATTESTED:


NICASIO B. ALIPING
Secretary

htc'74

Note:
there is a need to
amend policy to conform
w/ By Laws

AREA COVERAGE:

BAGUIO CITY • BOKOD • ITOGON • LA TRINIDAD • SABLAN • TUBA • TUBLAY

BENGUET ELECTRIC COOPERATIVE (BENECO), INC.
Alapang, La Trinidad, Benguet
Tel. Nos. 43-22-110 / 43-22-000

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REGULAR MEETING
of the
BENECO BOARD of DIRECTORS
19 AUGUST 1995, KM 4, LA TRINIDAD, BENGUET

PRESENT: ESTEBAN B BUSOY, President
CARLOS M DUMASI, SR., Vice President
FRANK A PAGNAS, Secretary
FRANCISCO U BONA, JR., Treasurer
FERNANDO I PUKIAS, Auditor
DARWIN L BADECAO, Member
RAYMOND P BOTENGAN, Member
DIANA T CARBONELL, Member
FELIPE P KINGAY, Member
RUFINO M PANAGAN, Member
PABLO M TICWALA, Member

ALSO PRESENT: GERARDO P VERZOSA, General Manager
(Ex-Officio Member)

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RESOLUTION NO. 115-95

AMENDING THE POLICY ON NEPOTISM
AND CONFLICTS OF INTEREST

WHEREAS, BENECO Policy No. 1-6 on Nepotism and Conflicts of Interest aims "to establish policies regarding employment of relatives of the Board members and of the Manager and matters where conflicts of interest may arise (emphasis supplied);

WHEREAS, the same BENECO policy provides among others that "no relative within the third degree of consanguinity or affinity of any Board member or of the Manager (emphasis supplied) shall be employed by the Cooperative;

WHEREAS, the same BENECO policy provides among others that "the cooperative shall not transact business where any Board member, or of the Manager, or any of his relative within the third degree of consanguinity or affinity has any personal interest;

WHEREAS, in the BENECO, the actual APPOINTING AUTHORITY is the General Manager;

NOW, THEREFORE, on motion of Director F. I. Pukias and duly-seconded by Directors F. P. Kingay, D. T. Carbonell, and R. M. Panagan, BE IT

RESOLVED, AS IT IS HEREBY RESOLVED, institute the following amendments to the BENECO Policy 1-6:

PURPOSE: To establish policies regarding employment of THE APPOINTING AUTHORITY (the General Manager) and matters where conflicts of interest may arise.

POLICIES: (1) No relative within the third degree of consanguinity or affinity of THE APPOINTING AUTHORITY (the General Manager) shall be employed by the Cooperative; and (2) The Cooperative shall not transact business where any OFFICER or EMPLOYEE or any of his relative within the third degree of consanguinity or affinity has any personal interest.

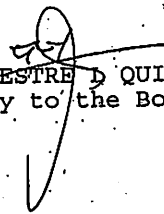
RESOLVED FURTHER and FINALLY to make the amended copy of the BENEKO Policy 1-6 and this Board Resolution become permanent attachments to each other for obvious purposes.

"CARRIED."

CERTIFIED TRUE and CORRECT:


FRANK A. PAGNAS
Secretary


ATTESTED: ESTEBAN B. BUSOY
President


PREPARED BY: SLY SYLVESTRE D. QUINTOS
Secretary to the Board